Inflation data no barrier to another RBA rate cut

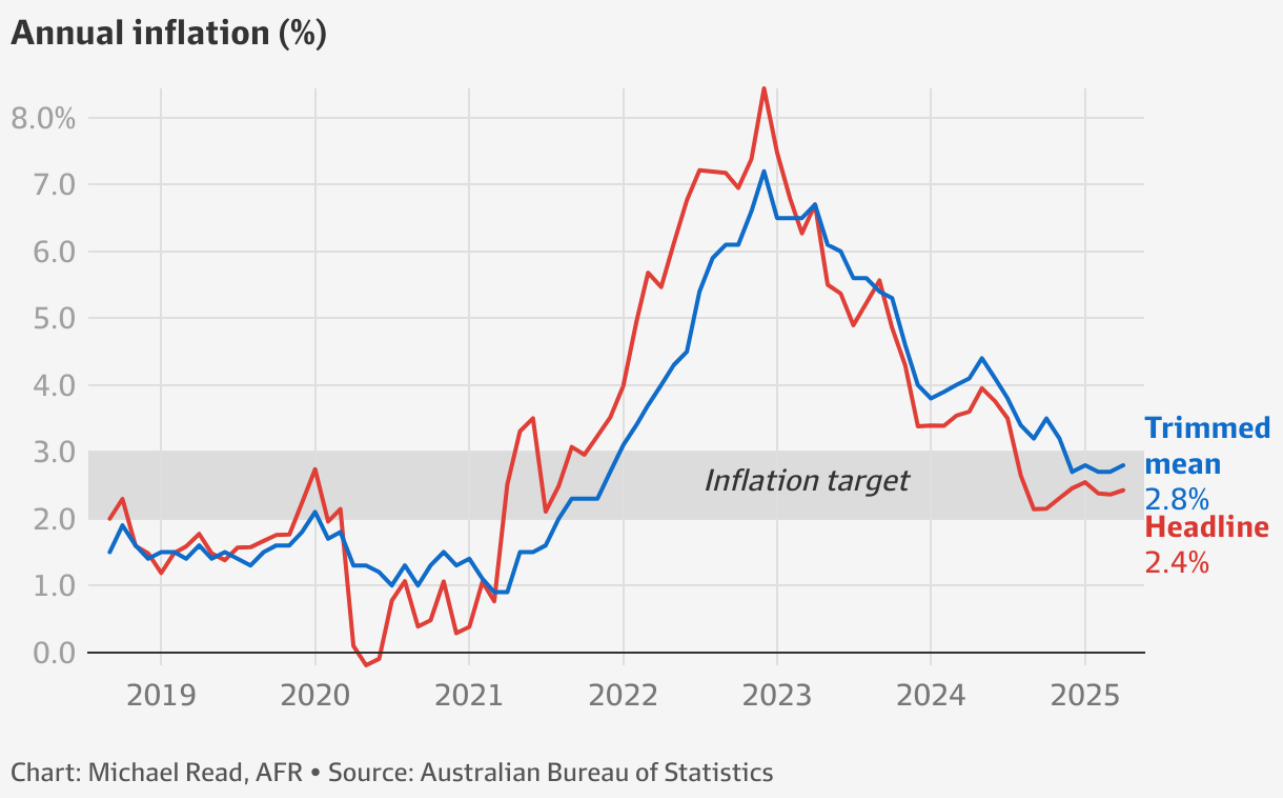
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Inflation is not a barrier to another cash rate cut as soon as the next Reserve Bank of Australia board meeting in July, as new figures showed price pressures remained within the central bank's target band last month.

Headline inflation was unchanged at 2.4 per cent in April, the Australian Bureau of Statistics said on Wednesday. While the figure was a little above market expectations for a 2.3 per cent outcome, the monthly figures are notoriously volatile and the RBA pays more attention to the quarterly data.

Trimmed mean inflation, the RBA's preferred measure of underlying inflation, inched up to 2.8 per cent in April from 2.7 per cent in March.



The RBA is increasingly comfortable with the inflation outlook, which now sits within its 2 per cent to 3 per cent target band after several years of rapid price rises. Last week, it cut the cash rate for the second time this year to 3.85 per cent, [https://www.afr.com/policy/economy/rba-cuts-cash-rate-to-3-85pc-as-it-slashes-growth-forecasts-20250519-p5m0gp]and flagged more if prices remained under control.

Treasurer Jim Chalmers said the direction of inflation was clear.
"This is the longest period that both headline and underlying inflation have been in the band since the monthly inflation series began in 2018," Chalmers said.

Bringing inflation down from the eye-dizzying 7 per cent in 2022 while preserving jobs has been no small feat given the central bank has lagged its peers when both raising rates and starting to ease.

But after months of criticism in 2023 and 2024 – from either being too slow to act to not doing enough, Andrew Lilley, chief rates strategist at Barrenjoey, said the central bank could now take a victory lap.

"These were the most difficult decisions in the past 25 years," he noted. "It's literally a 10 out of 10 on the RBA's decision-making."

RBA governor Michele Bullock told reporters last week that if inflation stayed "down sustainably" it would give the central bank the opportunity to lower rates further.

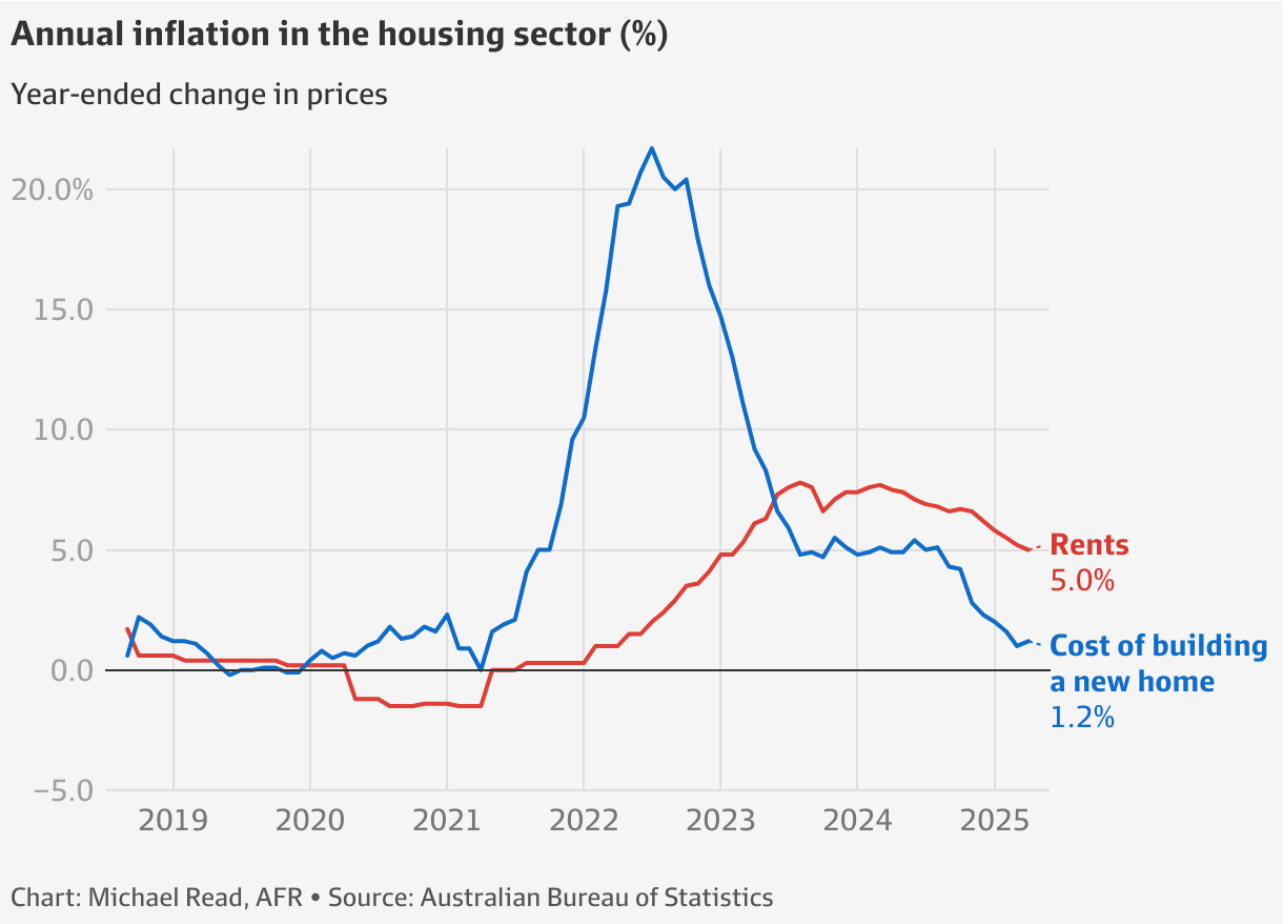
JPMorgan economist Tom Kennedy said Bullock's dovish tone meant the July meeting was a closer call than he had anticipated, though he still expects the next rate cut will not be until August.

Cautious cuts

Financial markets ascribe a 68 per cent chance the RBA board will further ease borrowing cuts in July, taking the cash rate to 3.6 per cent. By the end of the year, markets expect the cash rate to fall to 3.1 per cent.

HSBC chief economist Paul Bloxham said he expected the RBA to act cautiously with further rate cuts, with one reduction per quarter after the release of quarterly CPI prints. The next reading is due at the end of July.

"Today's CPI indicator – albeit only a partial indicator – suggests that the economy may not be disinflating quite as quickly as the RBA is forecasting," Bloxham said. He is tipping one rate cut each quarter until early next year, taking the cash rate to 3.1 per cent.



Rent inflation slowed to 5 per cent in April, the ABS said, which was the lowest pace of price growth since February 2023 but still well above pre-pandemic levels. The ABS also pointed to the increase in rental vacancy rates as the cause for the slowdown.

Meanwhile, the cost of building a new home increased by just 1.2 per cent in the 12 months to April, well below the 22 per cent peak in mid-2022, when supply chain disruptions and the HomeBuilder program caused the price of renovations and materials to increase rapidly.

While food inflation slowed to 3.1 per cent in April from 3.4 per cent in March, the price of some pantry staples is rising briskly. Egg prices rose by 18.6 per cent over the past 12 months [https://www.afr.com/politics/federal/what-s-the-election-got-to-do-with-the-price-of-eggs-a-lot-maybe-20250427-p5lui2] as bird flu caused a sharp fall in supply, while fruit and vegetable costs are up 6.1 per cent.

Tim Hext, head of government bond strategies at Pendal, said while the RBA was to slow to react to the inflation threat in 2021, he praised Bullock's restraint in 2024.

"I'll give them full marks for not having succumbed to pressure," he said after the RBA stopped raising rates in late 2023 at a time when other central banks including the US Federal Reserve kept hiking. [https://www.afr.com/markets/debt-markets/why-the-rba-will-break-away-from-the-fed-and-cut-rates-20250508-p5lxkd]

Even Warren Hogan, chief economist at Judo Bank, acknowledged the bank's cautious approach had paid off – at least for the moment.

"The worst fears I had – that inflation wouldn't even get down to 3 per cent – haven't been borne out," he said, before quickly adding that it was "certainly no victory".

The long-time critic pointed out that the average inflation rate over the last five years was still above target. "The jury's still out in terms of inflation-fighting credentials and credibility."

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